

Key metrics

ROE

17.5%

ROCE

3.5%

Net profit margin

17.8%

Debt / Equity

6.86

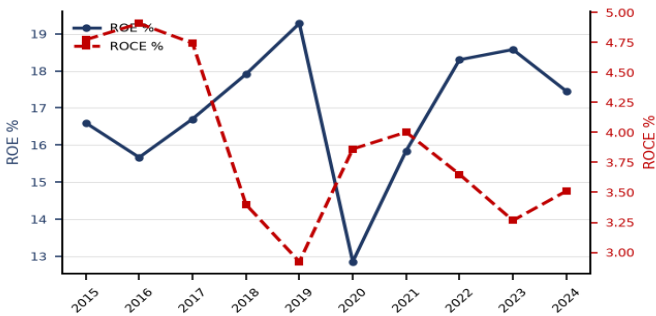
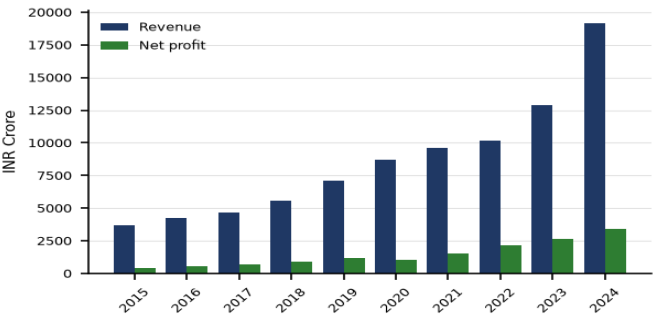
Revenue CAGR 5y

21.9%

Free cash flow

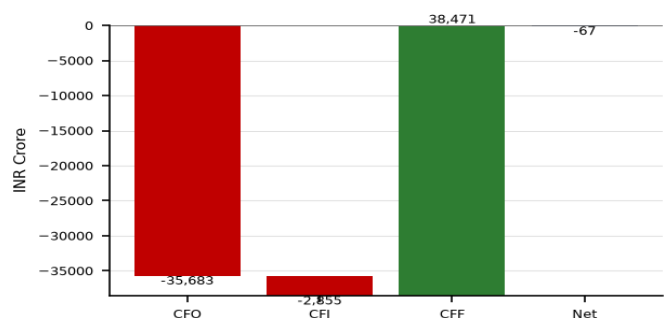
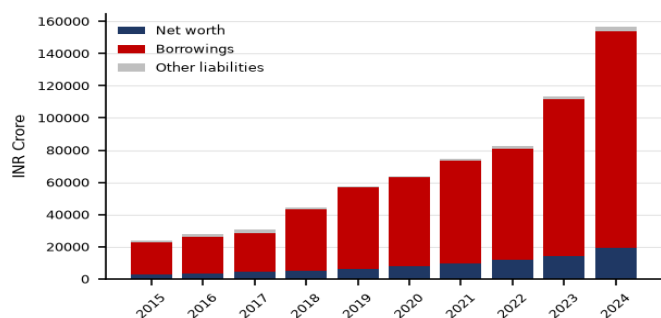
-38,538 Cr

Revenue, profit and returns



Latest period Mar 2024. 12 years of history available. All figures in INR Crore.

Balance sheet and cash flow



Capital allocation: Growth Funded by Debt

Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (78%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (75%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (75%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (67%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (65%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Net debt at 24.2 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (86%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (85%)

Pros and cons are generated from the Sprint 5 rule engine. Percentages are rule confidence, not probability of outcome. Valuation inputs are simulated data.